



liable to arrest for non-compliance all too often becomes an excuse for corruption.

I should add that we need to deregulate in both the central and state governments spheres so I hope the terms of reference of the Committee that is being set up will invite it to look at state regulations also. The Centre cannot act in this area, but it can signal to state governments that such a cleaning up is important. Areas that need massive cleaning up at the state level are the regulations related to land and change of land use.

Finally, I hope the proposed Committee will not just be a committee of government officers. It must ideally be headed by an outsider and have adequate representation from business and also experts familiar with procedures in other countries. It should invite suggestions from business bodies in the country, especially from small and medium industries and start-ups.



What fiscal and tax policy measures should the government adopt to balance macroeconomic stability with higher public investment in infrastruc-

ture, innovation and social development?

That is a very broad range of objectives for fiscal policy to pursue. As far as macroeconomic stability is concerned the important thing is that the fiscal deficit should not be too large since a large deficit effectively crowds out private investment. The finance minister has successfully reduced the central fiscal deficit to 4.4% of the GDP in 2025-26. She has also outlined a trajectory for bringing the debt-to-GDP ratio down to 50% by 2030-31. She has not indicated what this means for the fiscal deficit, but analysts have worked out that it implies a continuing reduction in the fiscal deficit to about 3.5% by 2030-31.

That is good, but what matters is the combined deficit of the Centre and the states. If the fiscal deficit for the states stays at say 3%, the total of the Centre and states' fiscal deficit will be 6.5% of GDP. This is lower than it is at present, but it will still be much higher than for most other developing countries.

Looking ahead, we also have to consider the other pressures there will be for additional expenditure, especially in the areas you mention, and how these can be fitted into the lower fiscal deficit.

India's infrastructure is improving, but there is a long way to go, and we